



**Basler
Kantonalbank**

ESG Report

Test Portfolio V14

31/12/2023



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I. Snapshot, summary

a. Quick Facts

ESG rating
 The ESG Quality score measures the ability of the underlying investments to manage key medium to long-term risks and opportunities related to environmental, social and governance factors.

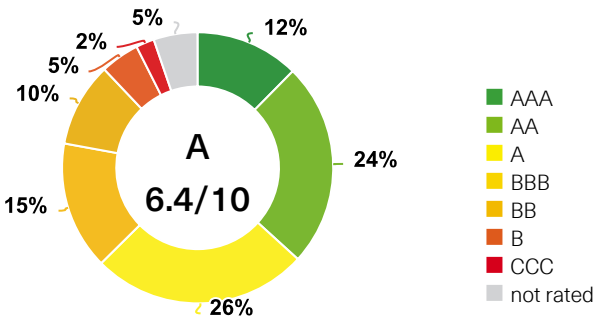
Benchmark

-

MSCI ESG rating scale		
8,6–10	AAA	Leader
7,1–8,6	AA	
5,7–7,1	A	
4,3–5,7	BBB	Average
2,9–4,3	BB	
1,4–2,9	B	
0–1,4	CCC	Laggard

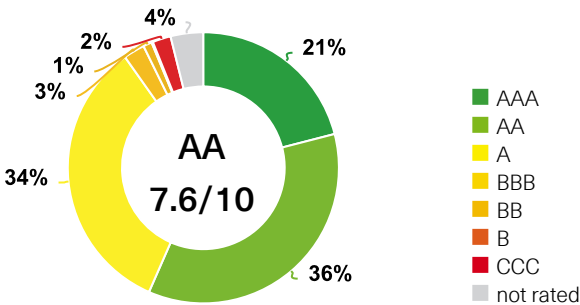
Portfolio

ESG rating distribution
in %



Benchmark

ESG rating distribution
in %



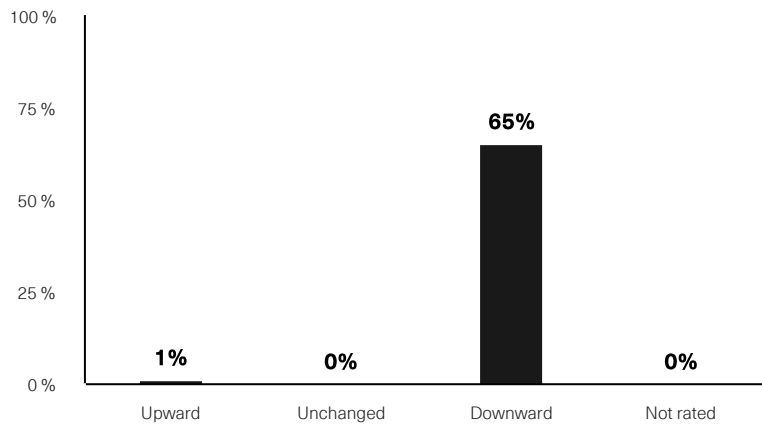
	Testportfolio	Composite BM 1
ESG score	6.4	7.6
ESG rating	A	AA
UN Global Compact compliance	0.3%	0.0%
Business involvement exposure	0.0%	
ESG coverage	94.8%	94.0%

I. Snapshot, summary

a. Quick Facts

ESG rating momentum – portfolio average

Companies with a negative (– downward) and positive (+ upward) trend in their ESG rating compared to the previous rating.



Female CEOs

Percentage of companies within the portfolio (holding weight) with female CEOs



3.4% **0.3%**

Portfolio

Benchmark

Female directors

Percentage of female directors in the companies in the portfolio.



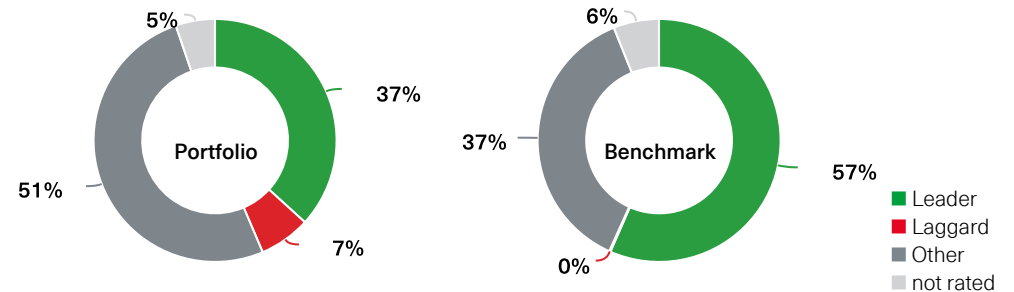
28.9% **34.4%**

Portfolio

Benchmark

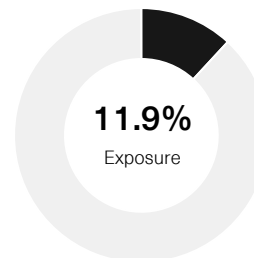
Exposure to ESG leaders and laggards

ESG leaders are companies with an ESG rating of AAA or AA (best in class). ESG laggards are companies with an ESG rating of B or CCC (worst in class).



Exposure to sustainability issues

The key figure shows the extent to which the portfolio is influenced by companies or their products and services, which contribute to solving the greatest global problems in the areas of social and environmental issues.



II. ESG overview

a. ESG rating und ESG scores

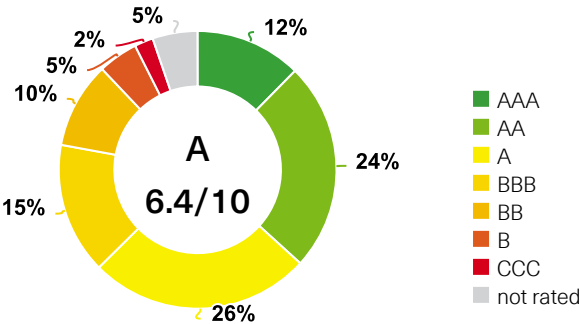
ESG rating

The MSCI ESG ratings aim to measure a holding's management of financially relevant ESG risks and opportunities. The scoring system uses a rules-based methodology to identify industry leaders and laggards according to their exposure to ESG risks and how well they manage those risks relative to peers. The resulting rating are therefore not absolute but rather explicitly intended to be interpreted relative to a company's industry peers.

Since the scores are only adjusted to industry peers after the aggregation of the pillar scores (E, S, and G Scores), the overall score is often higher or lower than the pure average of the underlying pillar scores.

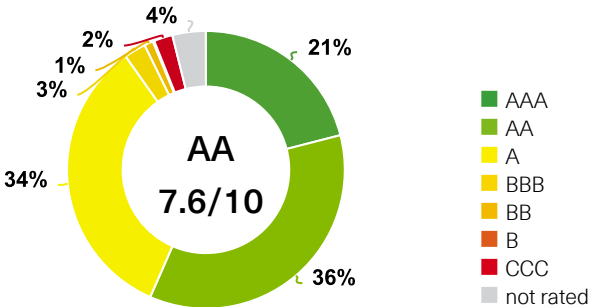
Portfolio

ESG rating distribution
in %



Benchmark

ESG rating distribution
in %



ESG screen	Portfolio	Benchmark	Portfolio vs. Benchmark
ESG score	6.4	7.6	-0.2%
ESG score breakdown			
Environment	5.6	6.1	-0.1%
Social	4.9	5.1	0.0%
Governance	5.5	6.2	-0.1%

II. ESG overview

b. ESG scores and key issues – company positions

Scores and weightings of the issues

The weightings on this page have been normalised, so that only the company positions in the portfolio can be displayed. If the portfolio also contains rated securities that are not corporate bonds, the weightings and pillar scores on this page may differ from those in the summary on the previous page.

	Respective key issues	Portfolio score	Benchmark score	Portfolio weight	Benchmark weight
Environment		5.6	6.1	20.7%	20.5%
Climate change	Carbon emissions, Product carbon footprint, Financing environmental impact, Climate change vulnerability	7.1	8.0	6.8%	6.2%
Natural capital	Opportunities in clean tech, Opportunities in green building, opportunities in renewable energy	5.1	5.4	4.6%	5.4%
Pollution and waste	Water stress, biodiversity & land use, raw material sourcing	4.9	5.1	4.5%	6.4%
Environmental opportunities	Toxic emissions & waste, packaging material & waste, electronic waste	4.8	5.6	4.8%	2.5%
Social		4.9	5.1	41.9%	43.5%
Human capital	Labor management, health & safety, human capital development, supply chain labor standards	4.8	5.5	19.6%	17.5%
Product liability	Product safety & quality, chemical safety, consumer financial protection, privacy & data security, responsible investment, health & demographic risk	4.8	4.5	16.9%	18.5%
Stakeholder Opposition	Access to communications, access to finance, access to health care, opportunities in nutrition & health	6.5	5.7	2.0%	1.2%
Social opportunities	Controversial sourcing, community relations	5.1	5.7	3.4%	6.3%
Governance		5.5	5.5	37.3%	36.0%
Coprorate governance	Ownership & control, board, pay, accounting	6.5	7.6	-	-
Corporate behaviour	Business ethics, tax transparency	5.4	4.9	-	-

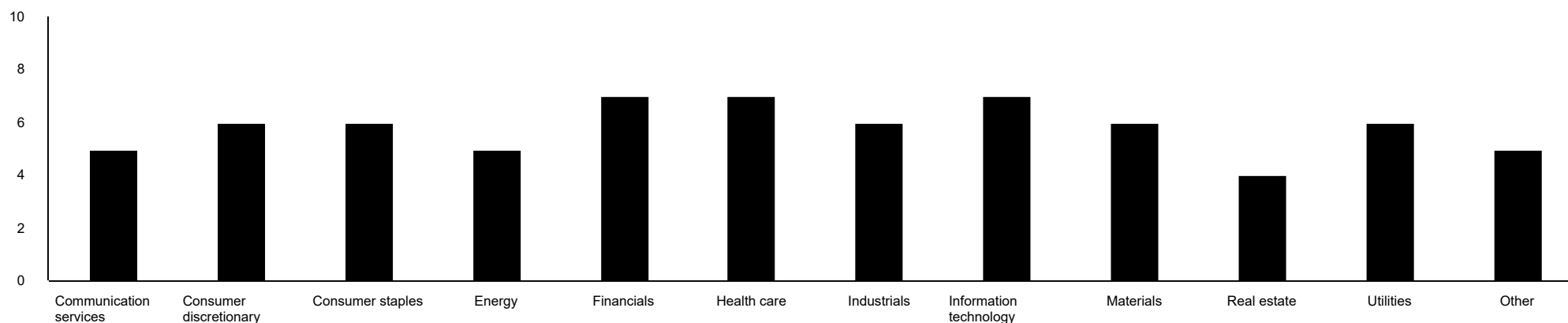
II. ESG overview

c. Breakdown by sector

ESG rating distribution

Sectors (GICS)	Portfolio score	Benchmark score	Portfolio weight	Benchmark weight	AAA	AA	A	BBB	BB	B	CCC	not rated
Communication services	4.9	7.3	7.0%	0.9%	0.0%	1.1%	1.1%	2.1%	1.2%	0.9%	0.5%	0.1%
Consumer discretionary	5.6	7.5	11.8%	5.1%	-	4.1%	0.2%	-	0.6%	-	-	0.5%
Consumer staples	6.0	6.3	7.8%	19.4%	0.2%	0.6%	5.5%	0.5%	0.7%	0.2%	0.0%	0.2%
Energy	5.4	-	4.9%	-	0.1%	1.0%	1.0%	0.8%	1.5%	0.4%	0.0%	0.1%
Financials	6.8	8.3	14.0%	17.0%	2.2%	4.0%	4.4%	1.4%	1.0%	0.7%	0.0%	0.3%
Health care	6.7	7.3	15.5%	31.0%	1.8%	5.3%	5.4%	0.9%	1.6%	0.1%	0.1%	0.3%
Industrials	6.1	7.6	8.5%	11.6%	1.8%	2.3%	1.3%	0.6%	1.2%	0.2%	0.7%	0.4%
Information technology	7.4	5.8	14.3%	2.2%	5.1%	3.4%	2.0%	2.2%	0.8%	0.2%	0.0%	0.5%
Materials	6.2	8.2	6.7%	8.1%	0.6%	2.9%	0.8%	0.9%	0.5%	0.5%	0.1%	0.3%
Real estate	4.4	6.9	3.1%	1.2%	0.1%	0.6%	0.3%	0.9%	0.2%	0.5%	0.4%	0.1%
Utilities	5.5	5.6	2.2%	0.2%	0.0%	0.6%	0.4%	0.8%	0.3%	0.0%	0.1%	-
Other	5.0	4.3	1.8%	1.1%	-	-	-	0.8%	-	0.2%	-	0.2%

Average ESG score per sector (GICS)



II. ESG overview

d. Breakdown of the holdings

Lowest ESG rated positions in portfolio (>0,05 % weight)

Holding name	Weight	Sector name (GICS)	ESG rating
SERVICE PROPERTIES TRUST	0.4	RealEstate	CCC
ICAHN ENTERPRISES L.P.	0.6	Industrials	CCC
DISH DBS Corporation	0.5	Communication Services	CCC
HYUNDAI MOTOR COMPANY	0.1	Consumer Discretionary	CCC
Celltrion, Inc.	0.1	HealthCare	CCC

Highest ESG rated positions in portfolio (>0,05 % weight)

Holding name	Weight	Sector name (GICS)	ESG Rating
ABB Ltd	1.3	Industrials	AAA
Alcon AG	0.7	HealthCare	AAA
Swiss Re AG	0.6	Financials	AAA
Kuehne + Nagel International AG	0.4	Industrials	AAA
Sonova Holding AG	0.3	HealthCare	AAA

Largest positions in portfolio

Holding name	Weight	Sector (GICS)	ESG Rating
Nestle S.A.	4.3	Consumer Staples	A
Novartis AG	3.9	HealthCare	AA
Roche Holding AG	3.8	HealthCare	A
APPLE INC.	1.8	Information Technology	BBB
UBS Group AG	1.7	Financials	AA

III. Controversies and international norms

a. ESG controversies

MSCI ESG controversies

The MSCI ESG controversies are designed to provide timely and consistent assessments of ESG controversies involving the impact of company operations, governance practices, and/or products and services that allegedly violate national or international laws, regulations, and/or commonly accepted global norms.

The ESG controversies analytical framework organizes controversies within the three pillars of Environment, Social, and Governance. The Social pillar is further divided into three sub-pillars representing different stakeholders.

MSCI ESG research signals the severity of the assessment through color-coded alerts:

- Red (0): indicates at least one very severe controversy
- Orange (1): indicates one or more major controversies (approaching the criteria for red)
- Yellow (2–4): indicates noteworthy controversies
- Green (5–10): indicates either less significant controversies or none at all



Positions in portfolio with the most controversy exposure (> 0,05 % Weight)

Holding name	Weight	Sector (GICS)	Controversy score	Overall flag
-	1.6	-	-	-
Nestle S.A.	4.3	Consumer Staples	1.0	Orange
Novartis AG	3.9	HealthCare	3.0	Yellow
Roche Holding AG	3.8	HealthCare	1.0	Orange
APPLE INC.	1.8	Information Technology	1.0	Orange
UBS Group AG	1.7	Financials	1.0	Orange
MICROSOFT CORPORATION	1.7	Information Technology	4.0	Yellow
Taiwan Semiconductor Manufacturing Co., Ltd.	1.4	Information Technology	10.0	Green
Zurich Insurance Group AG	1.4	Financials	4.0	Yellow
COMPAGNIE FINANCIERE RICHEMONT SA	1.4	Consumer Discretionary	5.0	Green

IV. Norm-based screening

a. United Global Compact Compliance

UNGC Compliance

Company	Portfolio weight	ESG score	UNGC compliance
Zijin Mining Group Company Limited	0.0	0.0	Fail
VALE S.A.	0.2	0.0	Fail
Trina Solar Co., Ltd.	0.0	0.0	Fail
TBEA CO., LTD.	0.0	0.0	Fail
SAIC Motor Corporation Limited	0.0	0.0	Fail
PetroChina Company Limited	0.0	0.0	Fail
Lens Technology Co., Ltd.	0.0	0.0	Fail
JinkoSolar Holding Co., Ltd.	0.0	-	Fail
Jinko Solar Co., Ltd.	0.0	0.0	Fail
Hoshine Silicon Industry Co., Ltd.	0.0	0.0	Fail

	Testportfolio	Composite BM 1
Violation of the Global Compact (%)	0.3	0.0
Violation of the Global Compact and inclusion in the watch list (%)	11.8	17.8

UNGC principles

1	Businesses should support and respect the protection of internationally proclaimed human rights.
2	Businesses should make sure that they are not complicit in human rights abuses.
3	Businesses should uphold the freedom of association and the effective recognition of the right to collective bargaining.
4	Businesses should uphold the elimination of all forms of forced and compulsory labour.
5	Businesses should uphold the abolition of child labour.
6	Businesses should uphold the elimination of discrimination in respect of employment and occupation.
7	Businesses should support a precautionary approach to environmental challenges.
8	Businesses should undertake initiatives to promote greater environmental responsibility.
9	Businesses should encourage the development and diffusion of environmentally friendly technologies.
10	Businesses should work against corruption in all its forms, including extortion and bribery.

IV. Norm-based screening

b. Business involvement – BKB general approach

BKB general approach

BKB has established guidelines for dealing with controversial environmental and social issues throughout its entire business activities. The guidelines cover the above-mentioned controversial business areas. In the area of asset management, these apply wherever BKB selects individual securities itself. Transactions at the explicit request of clients and third-party investment products are excluded from the scope of application. You can find further information on our [Homepage](#).

Grösste Portfoliopositionen mit Exposure gegenüber umstrittenen Geschäftsfeldern

Positionsbezeichnung	Gewichtung	Sector (GICS)	Business involvement
VALE S.A.	0.2	Materials	Power generation from coal and/or oil
China Shenhua Energy Company Limited	0.0	Energy	Power generation from coal and/or oil
PTT Public Company Limited	0.0	Energy	Power generation from coal and/or oil
PT Astra International Tbk	0.0	Consumer Discretionary	Power generation from coal and/or oil
COAL INDIA LTD	0.0	Energy	Power generation from coal and/or oil

Business involvement – BKB general approach

	Portfolio weight	BKB threshold
Power generation from coal and/or oil	0.5	20%
Production and supply of war material	0.6	10%
Palmoil	0.0	Zero tolerance
Controversial Weapons	0.4	Zero tolerance
Nuclear energy and uranium mining	0.0	20%

IV. Norm-based screening

c. Business involvement – BKB sustainable approach

BKB sustainable approach

For our sustainable investment products, in addition to the guidelines (BKB general approach), controversial business areas are defined in which no investment is made. These exclusion criteria are not only applied where the equity is selected by BKB, but they are also a basic prerequisite when selecting sustainable third-party investment products. You can find further information on our [Homepage](#).

Largest positions in portfolio with exposure

Holding name	Weight	Sector (GICS)	Business involvement
-	1.6	-	-
Nestle S.A.	4.3	Consumer Staples	-
Novartis AG	3.9	HealthCare	-
Al Yah Satellite Communications Company PJSC	0.0	Others	-
Roche Holding AG	3.8	HealthCare	-

Business involvement – BKB sustainable approach

	Portfolio Gewichtung	BKB threshold
Controversial weapons	0.4	Zero tolerance
Mining of coal	0.5	20%
Production and supply of war material	0.6	5%
Nuclear energy and uranium mining	0.7	5%
Genetic engineering in agriculture	0.3	5%
Tobacco	0.3	5%
Pornography	0.0	5%
Gambling	1.0	5%
Palmoil	0.0	Zero tolerance

V. Impact alignment measurement

a. Total exposure

Sustainable Impact-Alignment

Revenue exposure to sustainable impact solutions reflects the extent to which company revenue is exposed to products and services that help solve the world's major social and environmental challenges. It is calculated as a weighted average, using portfolio weights and each issuer's percent of revenue generated from sustainable impact solutions. To be eligible to contribute, an issuer must maintain minimum ESG standards. The classifications below help interpret the different degrees of exposure.

Overall sustainable impact exposure



Top 5 companies highly exposed to sustainable impact solutions

	Weight	Theme
MICROSOFT CORPORATION	1.7%	EI
Taiwan Semiconductor Manufacturing Co., Ltd.	1.4%	EI
ABB Ltd	1.3%	EI
Sika AG	1.0%	EI
NVIDIA CORPORATION	0.8%	EI

Environmental impact (EI) exposure



Social impact (SI) exposure



V. Impact alignment measurement

b. Sustainable impact alignment themes

Environmental impact alignment themes	Climate change			Natural capital	
	 Alternative energy	 Energy efficiency	 Green building	 Sustainable water	 Pollution prevention
3.5%	0.5%	2.4%	0.2%	0.2%	0.1%
Companies make x %	per year from revenues from alternative energy technologies	per year from revenues from energy efficiency technologies	per year from revenues from green building investments	per year from revenues from sustainable water technologies	per year from revenues generated by pollution prevention technologies
Benchmark 1.2%	0.1%	0.6%	0.1%	0.3%	0.0%

Social impact alignment themes	Basic needs				Empowerment	
	 Nutrition	 Affordable housing	 Major disease treatment	 Sanitation	 SME finance	 Education
8.4%	1.8%	0.1%	5.64%	0.4%	0.3%	0.1%
Companies make x %	per year from revenues from nutritious products	per year from revenues from affordable housing	per year from revenues from major disease treatment	per year from revenue of sanitation products	per year from revenues from SME finance	per year from revenues from educational services
Benchmark 18.5%	4.0%	0.0%	12.8%	0.3%	0.1%	0.0%

V. Impact alignment measurement

c. Sustainable Development Goals

SDG alignment

The SDG alignment represents the average net contribution of the portfolio to achieving the 17 UN Sustainable Development Goals (SDGs) on a scale from -10 (negative contribution) to +10 (positive contribution). The assessment is based on both the products and services and the operating activities of the companies included in the portfolio.

	No poverty End poverty in all its forms everywhere.	-0.1	0.2
	Zero hunger End hunger, achieve food security and improved nutrition and promote sustainable agriculture.	-0.4	-1.9
	Good health and well-being Ensure healthy lives and promote well-being for all at all ages.	-0.1	0.3
	Quality education Ensure inclusive and equitable quality education and promote lifelong learning opportunities for all.	-0.2	-0.3
	Gender equality Achieve gender equality and empower all women and girls.	1.4	2.0
	Clean water and sanitation Ensure availability and sustainable management of water and sanitation for all.	0.8	1.4
	Affordable and clean energy Ensure access to affordable, reliable, sustainable and modern energy for all.	0.3	1.6
	Decent work and economic growth Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all.	0.7	1.1
	Industry, innovation and infrastructure Build resilient infrastructure, promote inclusive and sustainable industrialisation and foster innovation.	0.1	-0.2

	Reduced inequalities Reduce inequality within and among countries.	0.2	0.6
	Sustainable cities and communities Make cities and human settlements inclusive, safe, resilient and sustainable.	-0.3	-0.3
	Responsible consumption and production Ensure sustainable consumption and production patterns.	-0.2	-0.7
	Climate action Take urgent action to combat climate change and its impacts.	0.4	1.6
	Life below water Conserve and sustainably use the oceans, seas and marine resources for sustainable development.	-0.3	-0.5
	Life on land Protect, restore and promote sustainable use of terrestrial ecosystems, sustainably manage forests, combat desertification, and halt and reverse land degradation and halt biodiversity loss.	-0.7	-1.9
	Peace, justice and strong institutions Promote peaceful and inclusive societies for sustainable development, provide access to justice for all and build effective, accountable and inclusive institutions at all levels.	-0.7	-0.9
	Partnerships for the goals Strengthen the means of implementation and revitalise the Global Partnership for Sustainable Development.	-0.6	-0.8

■ Portfolio
■ Benchmark

Sustainable Development Goals

The 2030 Agenda for Sustainable Development, adopted by all United Nations Member States in 2015, provides a shared blueprint for peace and prosperity for people and the planet, now and into the future. At its heart are the 17 Sustainable Development Goals (SDGs), which are an urgent call for action by all countries - developed and developing - in a global partnership. They recognize that ending poverty and other deprivations must go hand-in-hand with strategies that improve health and education, reduce inequality, and spur economic growth – all while tackling climate change and working to preserve our oceans and forests

VI. Swiss Climate Scores

a. Current State

About the Swiss Climate Scores

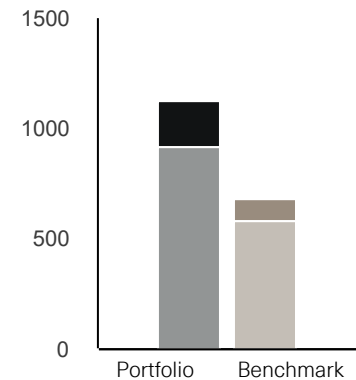
Switzerland and its financial market are committed to transitioning to net-zero greenhouse gas emissions by 2050. This is needed to honor its obligations under the Paris Agreement of holding the increase in the global temperature to well below 2°C and pursuing efforts to limit it to 1.5°C. Current science indicates that global warming beyond 1.5°C has potentially catastrophic impacts on the natural world and human society. The Swiss climate scores establish best-practice transparency on the Paris-alignment of financial investments to foster investments decisions that contribute to reaching the climate

Greenhouse gas emissions

Encompasses all sources of greenhouse gas emissions from invested companies (scope 1–3), including the relevant emissions of their suppliers and products.

Intensity

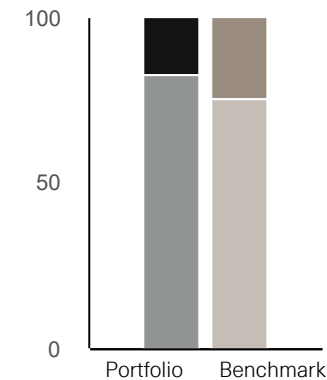
tCO2e/CHF million revenue



- Scope 1 and 2 (89 % coverage)
- Scope 3 (65 % coverage)
- Scope 1 and 2 (91 % coverage)
- Scope 3 (80 % coverage)

Footprint

tCO2e/CHF million revenue



- Scope 1 and 2 (89 % coverage)
- Scope 3 (65 % coverage)
- Scope 1 and 2 (91 % coverage)
- Scope 3 (80 % coverage)

Exposure to fossil fuel activities

There is scientific consensus of the need to phase-out coal and stop financing new fossil fuel projects. Below figures show the share of investments into companies that earn more than 5% of their revenues from such business activities.

Share of investments into companies with activities in **coal**:

0.2%

Portfolio

0.0%

Benchmark

Share of investments into companies with activities in other **fossil fuels**

7.9%

Portfolio

0.0%

Benchmark

ⓘ Medium estimation uncertainty

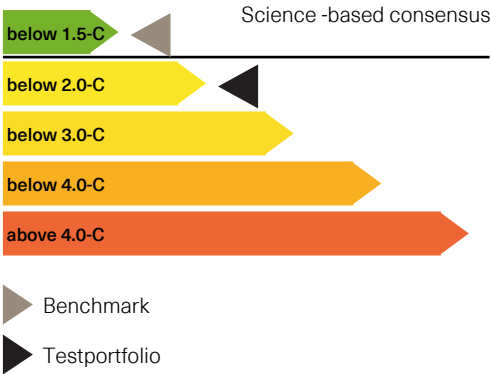
ⓘ Low estimation uncertainty

VI. Swiss Climate Scores

b. Transition to net zero

Global warming alignment

This is the level of global warming that would occur if the global economy acted with the same ambition as the companies in the portfolio. Some portfolios with climate objectives may intentionally include investments in companies that are not yet on track to 1.5°C, but seek to contribute actively to climate goals by improving the alignment of investee companies to bring a larger share of the economy into alignment over time.



1.9° 1.4°
Portfolio Benchmark

Portfolio assets covered by assessment: 97.2%
Climate scenarios used: **Scenario X**
Data model: **Implied Temperate Rise**
Data provider: **MSCI ESG Inc.**

ⓘ High estimation uncertainty

Management to Net-Zero

Financial institutions can contribute to the transition to net zero by aligning their investment strategy with a consistent 1.5 °C decarbonisation pathway.

Does the investment strategy include a goal to reduce the greenhouse gas emissions from its underlying investments through concrete short-term (1–3 years) or midterm (5 years) targets?	No
Is the portfolio part of a third-party verified commitment to net zero by the financial institution including credible interim targets?	No

3%
Average annual reduction path
excluding relevant Scope 3

2 %
Average annual reduction path
including relevant Scope 3

Verified commitments to net zero

Companies are increasingly committing voluntarily to transitioning to net zero and setting interim targets. The effectiveness of such commitments depends on whether interim targets are credible, science-based and transparent.

Share of companies in portfolio with verified commitments to net zero and credible interim targets:

33.6% 49.3%
Portfolio Benchmark

ⓘ Low estimation uncertainty

Credible Climate Stewardship

Financial institutions can contribute to the transition to net-zero, by engaging with invested companies on third-party verified, sciencebased net-zero aligned transition plans until 2050.

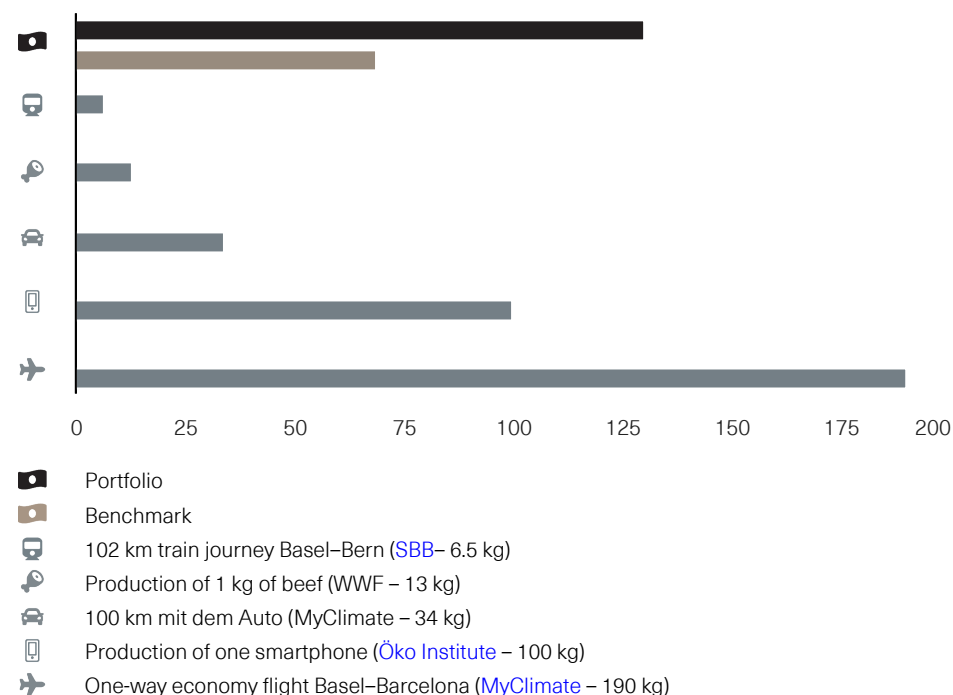
Are companies in the portfolio subject to credible stewardship on climate transition?	No
Share of companies currently under active climate engagement:	0.0%
Share of climate votes supported:	-
Link to climate stewardship strategy and report:	-
Is the financial institution a member of a climate engagement initiative?	No

VII. Carbon

a. Carbon overview

Comparison with everyday examples

Consumption in kg CO₂e



CO₂e emission figures

	Testportfolio	Composite BM 1
Financed Emissions S123 Corporate	0.6	0.2
Financed Emissions S1 Corporate	0.1	0.1
Financed Emissions S2 Corporate	0.0	0.0
Financed Emissions S3 Corporate	0.5	0.2
Weighted average carbon intensity (tCO ₂ e/mil. revenue)	217.1	102.2
WACI Coverage S12 Corporate	94.8	93.9
Government greenhouse gas intensity (tCO ₂ e/mil.GDP)	0.0	0.0
-Coverage	-	-

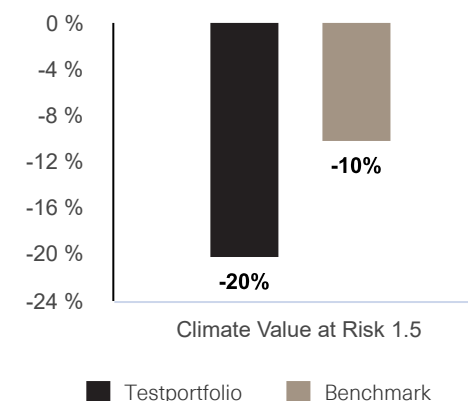
Carbon contributors

Top 5 largest positions in portfolio	Weight	Carbon footprint (tCO ₂ e / CHF mil. invested)
-	1.6	-
Nestle S.A.	4.3	10.9
Novartis AG	3.9	2.3
Al Yah Satellite Communications Company PJSC	0.0	-
Roche Holding AG	3.8	2.3

Top 5 largest carbon values in portfolio	Weight	Carbon footprint (tCO ₂ e / CHF mil. invested)
ASIA CEMENT (CHINA) HOLDINGS CORPORATION	0.0	15659.8
Zhejiang Zheneng Electric Power CO., LTD	0.0	11082.8
PGE POLSKA GRUPA ENERGETYCZNA SPOLKA AKCYJNA	0.0	10958.2
NTPC LIMITED	0.0	7383.9
GD POWER DEVELOPMENT CO., LTD.	0.0	6683.1

Climate Value at Risk

This reflects the portfolios exposure to climate change risks as a percentage of market value at risk under the climate change scenario of a 1.5 °C temperature increase (where a negative CVaR indicates the potential loss and a positive CVaR indicates potential gain in portfolio value).



VIII. Fund overview

a. Fund facts and breakdown of invested funds

ISIN	Fund	ESG Rating	ESG Score	UNGC	Carbon Footprint	Weighted average carbon intensity	Swiss Climate Scores report
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IX. Appendix

a. Glossary

Term	Description
Share of fossil fuels	The figures represent the share of investments in companies that generate more than 5 % of their revenues from the following business activities: carbon-based fuels from fossil hydrocarbon deposits, including coal, petroleum and natural gas. For the purposes of the Swiss Climate Scores, exposure to coal is considered separately from exposure to other fossil fuels (i.e. petroleum and natural gas). The scope of activities covers the entire value chain, from exploration, extraction and production (upstream), transport and storage (midstream) to refining, marketing and electrification (downstream).
Business involvement – BKB	Business Involvement identifies companies involved in activities that violate ethical or religious views, such as the production of alcohol, weapons, tobacco, etc. We distinguish between a general BKB approach with our guidelines for dealing with controversial environmental and social issues. These are generally applicable to all business activities of BKB. Companies that do not generate significant revenue or production shares (see Thresholds) in the relevant business areas may be admitted. On the other hand, companies that produce or trade in banned weapons, for example, are excluded completely. In the investment business, in addition to the sustainable BKB approach, which involves the exclusion of other business areas, as well as stricter thresholds, Business Involvement Screens help to gain a better insight into potentially controversial business activities to which a portfolio may be exposed.
Business involvement exposure	The percentage of portfolio market value with an exposure to companies associated with one or more exclusion criteria.
Global warming potential	This is the level of global warming that would occur if the global economy acted with the same ambition as the portfolio companies. A climate scenario of 2 °C is used for this.

Term	Description
Credible climate dialogue	• Votes/proxy votes should be consistent with the ambition of reaching net zero by 2050 • Any linked climate engagement strategy should be consistent with the ambition of reaching net zero by 2050 An example for a climate engagement initiative is Climate Action 100 • The escalation procedure is clearly defined and made transparent
Implied Temperature Rise (ITR)	An Implied Temperature Rise (ITR) model helps to determine the temperature of a portfolio. It translates the projected greenhouse gas emissions of the companies that comprise a portfolio into an increase in global average temperatures over the coming decades. For example, the model indicates whether a portfolio can limit global warming to 1.5 °C this century (see MSCI Implied Temperature Rise Methodology).
MSCI ESG rating	The MSCI ESG score at the portfolio level is designed to help clients understand a fund's resilience to long-term ESG risks and opportunities. The MSCI ESG score at the portfolio level summarises the industry or government-adjusted ESG scores of the underlying holdings to give clients an indication of ESG valuation at the fund level. The value is given on a scale from 0 to 10, with 0 and 10 representing the lowest and highest possible fund valuations, respectively.
Swiss Climate Scores	In order to create a meaningful and comparable information base on the climate compatibility of financial assets, the federal government has introduced six indicators that are based on existing and internationally established criteria and methods. The Swiss Climate Scores measure the current state of climate pollution and take the future into account by a transition to net zero. Further information can be found on the Swiss Climate Scores website of the federal government .

IX. Appendix

a. Glossary

Term	Description
Greenhouse gas emissions	CO2e = CO2 equivalents are a unit of measurement for standardising the climate effect of the different greenhouse gases. The amount of CO2e emitted is expressed in "tonnes of CO2 equivalents" (tCO2e). Intensity of a company: CO2e emissions (in tonnes) per 1 million revenue achieved by the issuers in the portfolio. Intensity of states: CO2e emissions (in tonnes) per 1 million GDP generated by the issuers in the portfolio. Footprint: CO2e emissions (in tonnes) per 1 million invested capital. Weighted average CO2e intensity (WACI): If you multiply the CO2e intensity of an item in investments by its weighting in the portfolio, you get the weighted average CO2e intensity or Weighted Average Carbon Intensity (WACI). Scope 1: Emissions from sources that are directly owned or controlled by the company Example of a automotive manufacturer: Direct CO2e emissions from the manufacturing facilities and the company's own fleet (e.g. combustion of oil or gas in production processes and fuels in vehicles). Scope 2: Indirect emissions from the use of purchased energy (e.g. electricity consumption, heat, cooling). If the company generates the energy used itself, this electricity is not accounted for as Scope 2, but the fuel used is accounted for under the (direct) emissions of Scope 1. Example of a automotive manufacturer: Purchasing electricity from an energy supplier. In this case, the Scope 2 emissions correspond to the Scope 1 emissions of the utility. Scope 3: All other indirect emissions that arise in the value chain of a company. Upstream: Describes the CO2e emissions from the so-called upstream chains: from the production of raw materials (such as plastics, steel, aluminium), business trips and commuting of employees, etc. Downstream: Emissions resulting from the transport and use of the products, as well as for their recycling. Example of a automotive manufacturer: Greenhouse gas emissions resulting from the production of automotive parts, which it receives from suppliers, are classified as upstream Scope 3 emissions. The emissions

released from the use of the vehicles by their owners over the lifetime of the vehicle, on the other hand, represent the downstream Scope 3 emissions of the vehicle manufacturer.

Term	Description
UNGC	The United Nations Global Compact (UNGC) is a United Nations global initiative established in 2000. It supports companies in voluntarily committing to responsible business practices in the areas of human rights, labour standards, environmental protection and corruption. More than 22,000 companies and organisations from around 165 countries are now part of the Global Compact. The UNGC pursues two complementary objectives: Firstly, the ten principles for responsible corporate governance in the areas of human rights, labour standards, the environment and the fight against corruption are to be integrated into corporate action on a global level. Secondly, measures should be promoted that support the general goals of the UN (e.g. Sustainable Development Goals).
Overview of UNGC compliance	Shows the UNGC statistics and the key figures for the portfolio. Investments are classified and graded as investments that have passed the test, are on the watch list or have not passed the test, as well as investments that are not covered by this analysis. Investments are based on their market value in the portfolio. UNGC compliance is based directly on the methodology of controversies (see MSCI ESG controversies and Global norms methodology).
Companies with verified net zero targets	Companies must have publicly committed to achieving net zero and their short-term targets must be certified (by the Science-Based Target initiative (SBTi) or other bodies as appropriate).

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